

B.Sc. Engg. SWE 2nd Semester

18 February 2022 (Morning)

ISLAMIC UNIVERSITY OF TECHNOLOGY (IUT)

ORGANISATION OF ISLAMIC COOPERATION (OIC)

Department of Computer Science and Engineering (CSE)

MID EXAMINATION

SUMMER SEMESTER, 2020-2021

DURATION: 1 Hour 30 Minutes

FULL MARKS: 75

HUM 4247: Accounting

Answer all **3 (three)** questions. All questions carry equal marks. Programmable calculators are not allowed. Do not write anything on the question paper.

Figures in the right margin indicate marks.

1. a) Ratul, a beginning accounting student, believes that the Criterion for which a business event become a transaction is "The company's cash must be affected". Is Ratul Correct? Explain the reason. 5 (CO1) (PO1)
- b) Perkins Corporation reported in table-1 the amounts in 2009, 2010, and 2011. 12 (CO2) (PO2)

	2009	2010	2011
Current assets	\$200,000	\$230,000	\$240,000
Current liabilities	\$160,000	\$168,000	\$184,000
Total assets	\$500,000	\$600,000	\$620,000

Table-1**Required:**

- i) What are the three tools of financial statement analysis?
- ii) Perform each of the three types of analysis on Perkins Corporation's current assets.
- c) Selected comparative statement data for Best Products Company are presented in table-2. All balance sheet data are as of December 31. 8 (CO3) (PO4)

	2018	2017
Net sales	\$660,000	\$620,000
Cost of goods sold	380,000	340,000
Interest expense	7,000	5,000
Net income	50,000	35,000
Accounts receivable	120,000	100,000
Inventory	95,000	85,000
Total assets	530,000	415,000
Accounts Payable	60,000	40,000
Bonds Payable	40,000	50,000
Common Stock	400,000	300,000
Retained Earnings	30,000	25,000
Cash Dividends	20,000	10,000

Table-2**Required:**

Compute the following ratios for 2018.

(i) Inventory turnover.

1

(ii) Return on common stockholders' equity.

(iii) Payout Ratio.

(iv) Debt to Total Assets Ratio.

2. a) A cloth store makes a sale of clothes for \$1,000 on November 30. The customer is sent a statement on December 5 and a cheque is received on December 10. The cloth store follows Revenue Recognition Principle. When is the \$1,000 considered to be earned? Explain the reason. 5 (CO1) (PO1)
- b) The worksheet for Carey Company shows the following table-3 in the financial statement columns: 5 (CO2) (PO2)

Carey, Drawing	\$15,000
Carey, Capital	\$42,000
Net Income	\$8,000

Table-3**Required:**

Prepare the closing entries at December 31 that affect owner's capital.

- c) Studio Graphics Company was organized on January 1, 2018, by Sue Givens. At the end of the first 6 months of operations, the trial balance contained the accounts in table-4: 15 (CO3) (PO4)

Debits		Credits
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Total assets	530,000	415,000
Accounts Payable	60,000	40,000
Bonds Payable	40,000	50,000
Common Stock	400,000	300,000
Retained Earnings	30,000	25,000
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Debits	
Cash	\$ 9,500
Accounts Receivable	14,000
Equipment	45,000
Insurance Expense	1,800
Salaries Expense	30,000
Supplies Expense	3,700
Advertising Expense	1,900
Rent Expense	1,500
Utilities Expense	1,700
Total	\$109,100

Credits	
Notes Payable	\$20,000
Accounts Payable	9,000
Sue Givens, Capital	22,000
Graphic Revenue	52,100
Consulting Revenue	6,000
Total	\$109,100

Table-4

Analysis reveals the following additional data:

- The \$3,700 balance in Supplies Expense represents supplies purchased in January. At June 30, \$1,300 of supplies was on hand.
- The note payable was issued on February 1. It is a 9%, 6-month note.
- The balance in Insurance Expense is the premium on a one-year policy, dated March 1, 2018.
- Consulting fees are credited to revenue when received. At June 30, consulting fees of \$1,500 are unearned.
- Graphic revenue earned but unrecorded at June 30 totals \$2,000.
- Depreciation is \$2,000 per year.

Required 1: Journalize the adjusting entries at June 30. (Assume adjustments are recorded every 6 months.)

Required 2: Prepare an adjusted trial balance.

2

- a) Fuad Hasan, a beginning accounting student, believes that double-entry system means each transaction must be recorded twice. Is Fuad correct? Explain. 5 (CO1) (PO1)
- b) Neo Supply Computer Company entered into the following transactions during May 2020. 7 (CO2) (PO2)
- Purchased computer terminals for \$20,000 from Digital Equipment on account.
 - Received \$15,000 cash from customers for contracts billed in April.
 - Provided computer services to Fisher Construction Company for \$3,000 cash.
 - Paid Northern States Power Co. \$11,000 cash for energy usage in May.
 - Neo invested an additional \$32,000 in the business.
 - Paid Digital Equipment for the terminals purchased in (i) above.
 - Incurred advertising expense for May of \$1,200 on account.

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Equipment	45,000
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 - Paid Northern States Power Co. \$11,000 cash for energy usage in May.
 - Neo invested an additional \$32,000 in the business.
 - Paid Digital Equipment for the terminals purchased in (i) above.
 - Incurred advertising expense for May of \$1,200 on account.

Required:

Indicate whether each of the transactions above results in:

- an increase in assets and a decrease in assets.
- an increase in assets and an increase in owner's equity.
- an increase in assets and an increase in liabilities.
- a decrease in assets and a decrease in owner's equity.
- a decrease in assets and a decrease in liabilities.
- an increase in liabilities and a decrease in owner's equity.
- an increase in owner's equity and a decrease in liabilities.

- c) An analysis of the transactions (in \$) made by Zinat Hasan & Co., a certified public accounting firm, for the month of August is shown in table-5. The expenses were \$650 for rent, \$4,900 for salaries, and \$500 for utilities. 13
(CO3)
(PO4)

Transaction No.	Cash	+Accounts Receivable	+Supplies	+Office Equipment	=Accounts Payable	Z.H, Capital	-Z.H, Drawings	+Revenues	- Expenses
i.	+15000					- 15000			
ii.	-2000			+5000	+3000				
iii.	-750		+750						
iv.	+4600	+3700						+8300	
v.	-1500				-1500				
vi.	-2000						-2000		
vii.	-650								-650
viii.	+450	-450							
ix.	-4900								-4900
x.					+500				-500

Table-5

Required 1: Describe each transaction that occurred for the month.

Required 2: Determine how much owner's equity increased for the month.

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